

ing price. (A similar disparity existed in connection with the price of the Class A stock.)

Undervalued Investment Issues. Undervalued bonds and preferred stocks of investment caliber may be discovered in any period by means of assiduous search. In many cases the low price of a bond or preferred stock is due to a poor market, which in turn results from the small size of the issue, but this very small size may make for greater inherent security. The Electric Refrigeration Building Corporation 6s, due 1936, described in Chap. 26, are a good example of this paradox.

At times some specific development greatly strengthens the position of a senior issue, but the price is slow to reflect this improvement, and thus a bargain situation is created. These developments relate usually to the capitalization structure or to corporate relationships. Several examples will illustrate our point.

Examples: In 1923 Youngstown Sheet and Tube Company purchased the properties of Steel and Tube Company of America and assumed liability for the latter's General Mortgage 7s, due 1951. Youngstown sold a 6% debenture issue at 99 to supply funds for this purchase. The following price relationship obtained at the time:

Company	Price	Yield, %
Youngstown Sheet and Tube Debenture 6s	99	6.02
Steel and Tube General 7s	102	6.85

The market failed to realize the altered status of the Steel and Tube bonds, and thus they sold illogically at a higher yield than the unsecured issue of the same obligor company. This presented a clear-cut opportunity to the analyst to recommend a purchase or an exchange.

In 1922 the City of Detroit purchased the urban lines of Detroit United Railway Company and agreed to pay therefor sums sufficient to retire the Detroit United Railway First 4¹/₂s, due 1932. Unusually strong protective provisions were inserted in the purchase contract which practically, if not technically, made the City of Detroit liable for the bonds. But, after the deal was consummated, the bonds sold at 82, yielding more than 7%. The bond market failed to recognize their true status as virtual obligations of the City of Detroit.